TIKONA CAPITAL
INSTITUTIONAL EQUITY RESEARCH

Motilal Oswal Financial Services Ltd

BUY

NSE: MOFSL | Financial Services

CMP	TARGET PRICE	MARKET CAP	UPSIDE
₹822.90	₹1,127	₹490,790,000,000 Cr	+37%
As of 28/04/2026			

Report: 28/04/2026

"Initiation of Coverage: BUY"

RATING	CURRENT PRICE	TARGET PRICE
BUY	₹822.9	₹1,127.0

02 Investment Thesis

Motilal Oswal represents a compelling investment opportunity driven by its accelerating transformation from a cyclical broking firm into a high-quality, annuity-driven financial services platform. The increasing contribution of Annual Recurring Revenue fundamentally re-rates the earnings quality, while the market has yet to fully price in this strategic pivot. Our BUY rating reflects the significant upside potential as the company continues its successful diversification strategy.

- Transformation to annuity-driven model reduces earnings volatility and enhances business quality
- Sustained AUM growth across asset management and private wealth segments with strong performance metrics
- Upgraded credit rating to AA+ (Stable) validates financial strength and disciplined capital allocation
- Operating leverage driving margin expansion as fee-based businesses scale
- Superior reinvestment quality score reflects strategic capital deployment into high-growth segments
- Strong fund performance metrics, with majority of AUM outperforming benchmarks, supports premium fee retention

03 Company Overview

Founded in 1987, Motilal Oswal has evolved from a research-driven equity broking house into one of India's most comprehensive financial services platforms. The company spans Capital Markets, Asset & Wealth Management, Housing Finance, and Alternative Investments, serving over 1.6 million customers across 550+ cities through 2,500+ business locations. Research DNA remains the firm's enduring competitive moat, with coverage of 300+ companies. The business model has strategically pivoted toward annuity-based revenue streams, reducing dependence on cyclical broking income while maintaining strong growth momentum across all verticals.

CURRENT PRICE	TARGET PRICE	UPSIDE	TOTAL AUM
₹822.9	₹1,127.0	37.0%	1.8

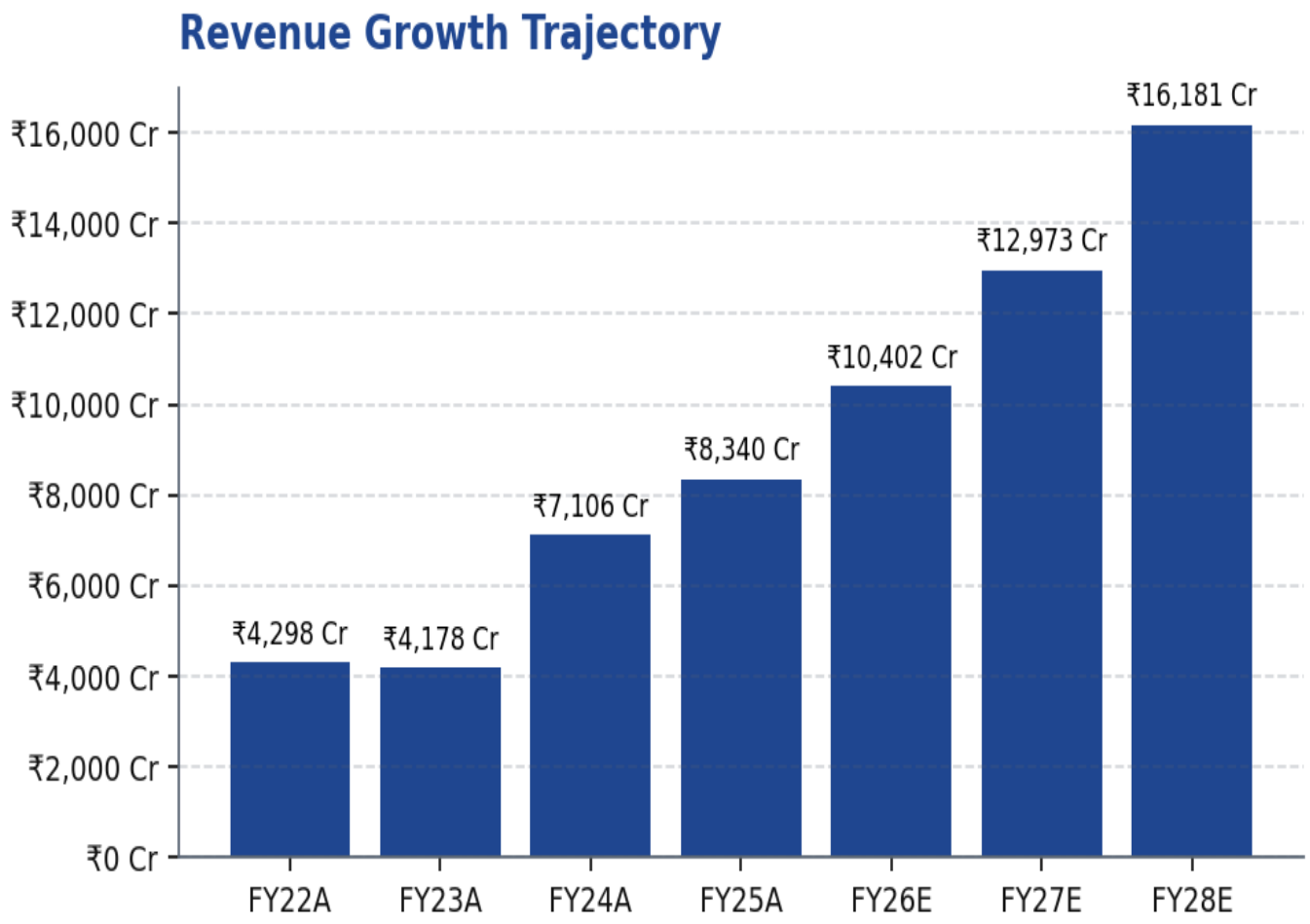
04 Key Investment Highlights

Motilal Oswal offers a compelling mix of business transformation, financial momentum, and valuation upside.

- Annual Recurring Revenue: ARR contribution forms a significant majority of total net revenues, reducing cyclical volatility
- Profit Growth: Recent quarterly profits showed remarkable year-on-year growth with exceptional return metrics
- AUM Growth: Total assets under management expanding rapidly with majority of funds outperforming benchmarks
- Private Wealth Expansion: PWM assets growing at an accelerated pace with strong client acquisition momentum
- Credit Strength: Long-term rating upgrade validates balance sheet quality and funding access
- Valuation Upside: Current market price represents a significant discount to consensus target
- Capital Allocation: Disciplined reinvestment into fee-based businesses enhances long-term earnings quality

05 Business Transformation

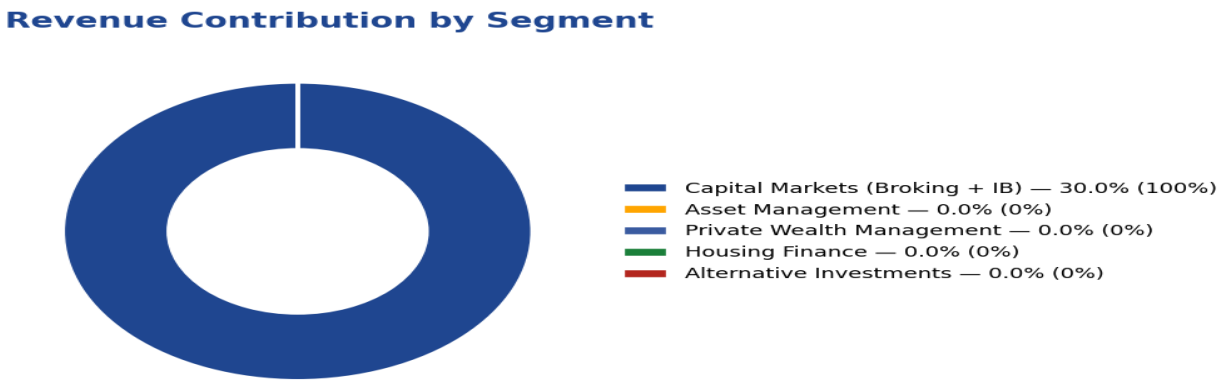
Motilal Oswal has executed a strategic pivot from its traditional broking roots toward a fee-based annuity model. Annual Recurring Revenue now constitutes a substantial portion of total net revenues, fundamentally altering the business profile. This transformation reduces earnings volatility across market cycles while maintaining growth momentum. Management continues to guide for further increases in ARR contribution, suggesting additional upside in valuation multiples as the market recognizes this quality improvement. The company's long-term strategy prioritizes expanding asset management and wealth management segments over cyclical capital markets business.



Source: Tikona Capital model

06 Business Segment Analysis

Motilal Oswal operates across multiple complementary segments, with increasing contribution from asset and wealth management.



Source: Tikona Capital model

Segment	Revenue %	Growth	Description
Capital Markets (Broking + IB)	30.0%	—	Equity, derivatives, commodity, currency trading + institutional services and investment banking. Brokerage now contributes only 30% of total revenue, down from historical highs.
Asset Management	—	—	Mutual funds and PMS. 91% of AUM outperforming benchmarks over 3 years.
Private Wealth Management	—	—	HNI/UHNI advisory. Family count up 41% YoY.
Housing Finance	—	—	Retail mortgage lending — affordable and mid-segment.
Alternative Investments	—	—	Private credit, real estate, alternatives.

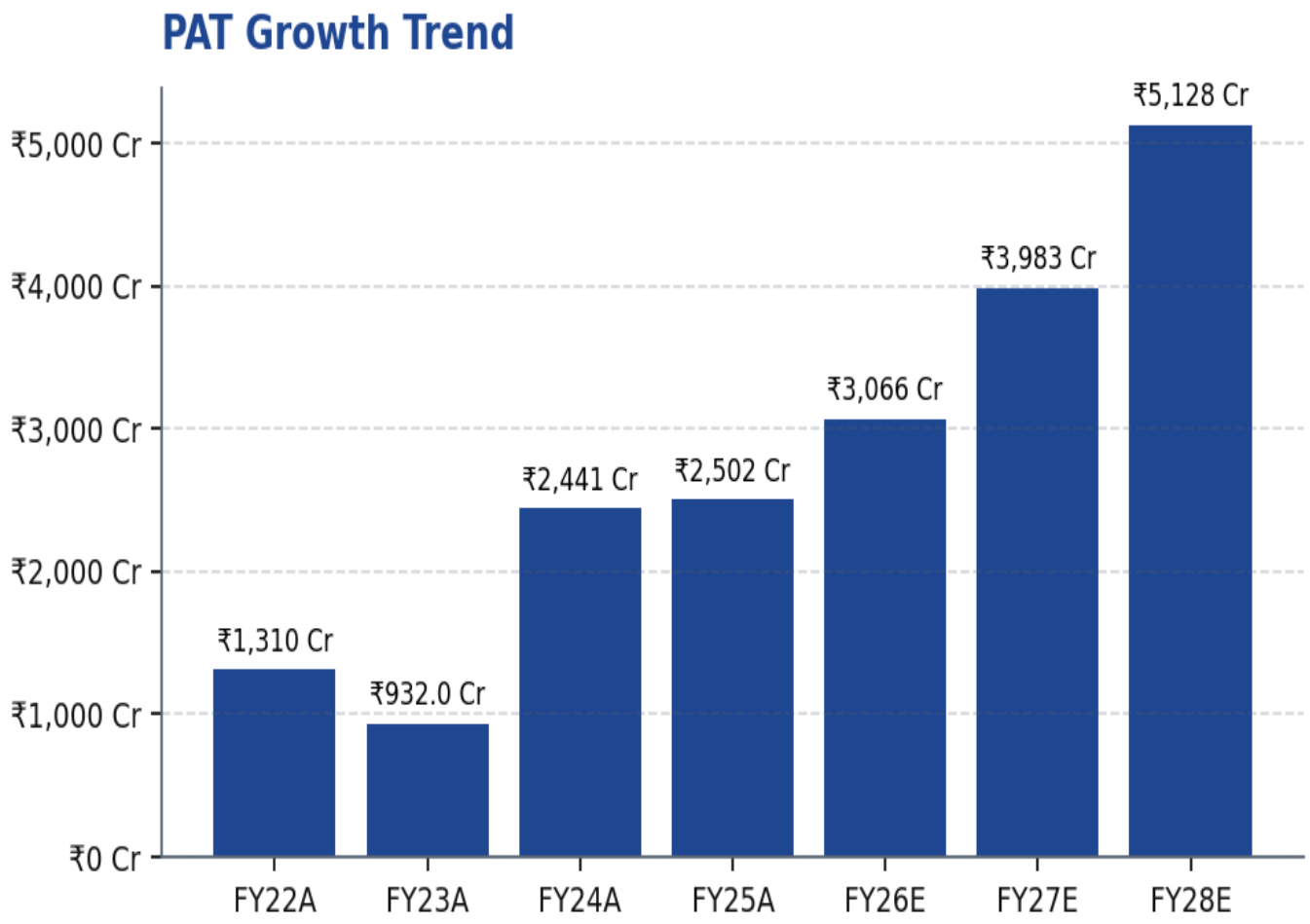
07 Industry Landscape

India's financial services sector stands as a strategic shock absorber for the broader economic growth story. The wealth management opportunity is particularly compelling, with India projected to become one of the largest private wealth markets globally in the coming years. The mutual fund industry remains significantly underpenetrated, suggesting substantial runway for growth. These structural tailwinds support Motilal Oswal's strategic pivot toward asset and wealth management, where scale benefits and operating leverage can drive sustained margin expansion as the industry matures.

- HNWI population in India expected to expand rapidly, creating substantial new wealth management opportunities
- India projected to become one of the largest private wealth markets globally in the coming years
- Financial services sector forecast to nearly double profits by FY30, led by NBFCs growing at double-digit rates a...
- Mutual fund penetration remains significantly below developed market levels, reflecting substantial latent growth...
- Private credit market experiencing robust growth, hitting record levels with significant year-on-year expansion
- Digital transformation lowering customer acquisition costs and expanding addressable market
- Regulatory framework increasingly supportive of professional financial advice and wealth management
- Rising financial literacy and shifting savings patterns from physical to financial assets

08 Financial Performance

Motilal Oswal has demonstrated robust financial performance, with revenue and profit growth accelerating as the business mix shifts toward higher-margin fee businesses. Recent quarterly results highlight the earnings power of the platform, though some cyclicality remains. The margin profile continues to improve as the asset and wealth management segments gain scale, delivering operating leverage from the largely fixed cost structure. Management's focus on increasing the annuity revenue contribution supports further margin expansion potential.



Source: Tikona Capital model

09 Quarterly Performance

Quarterly performance shows the business transformation impact, though some cyclicality persists.

Quarter	PAT (₹ Cr)	YoY Growth
Q2FY25	₹1,242.0 Cr	—
Q3FY25	₹715.0 Cr	—
Q4FY25	₹545.0 Cr	—
Q1FY26	₹425.0 Cr	—
Q2FY26	₹401.0 Cr	—

10 Key Financial Ratios

Financial ratios reflect the improving business mix and operating leverage benefits.

Ratio	Unit	FY24A	FY25A	FY26E
EBITDA Margin	**%**	**—**	**—**	**—**
PAT Margin	**%**	**—**	**—**	**—**
RoE	%	—	—	—
RoCE	%	—	—	—
RoIC	%	—	—	—
P/E	x	—	—	—
P/B	x	—	—	—
EV/EBITDA	**x**	**—**	**—**	**—**

11 SAARTHI Score: 72/100

Our proprietary SAARTHI framework evaluates investment quality across seven critical dimensions.

OVERALL SCORE	REINVESTMENT QUALITY	MANAGEMENT QUALITY
18.0	22.0	3,066.0

Dimension	Score	Assessment
Scalability of Core Engine	12/15	ARR at 61% of net revenues; fee-based at 45%. H1FY26 operating PAT INR 1,088 Cr (+11% YoY) on net revenue INR 2,888 Cr (+15%). Asset-light fee model scales without proportional cost growth. F&O constraints limit broking scalability near-term.
Addressable Market & Adjacency	9/10	**16.57L HNWIs by 2027; India 4th-largest private wealth market by 2028 (+58.4% UHNWIs). Sector profits to nearly double by FY30. MF penetration at 5–6%. Massive TAM with adjacency expansion across capital markets, wealth, housing, alternatives.**
Asymmetric Pricing Power	10/15	**91% of AUM outperforming benchmarks over 3 years gives pricing power in PMS/wealth. Brokerage revenue down 24% from regulatory changes — fee compression in cyclical segment. Discount brokers and fintech limit pricing in commoditized broking.**
Reinvestment Quality	13/15	MCap INR 49,079 Cr (+24.8% YoY); P/E 24.2; P/B 3.82. Strong RoCE; disciplined allocation into high-return fee businesses. Reinvestment in tech, talent, distribution

12 Leadership Team

Motilal Oswal's leadership combines deep industry expertise with strategic vision.

Name	Designation	Background
Raamdeo Agrawal	Chairman, MOFSL & Chairman, AMC	Co-founder (1987). Creator of the QGLP investment process and 'Buy Right, Sit Tight' framework. Built one of India's most respected investment research franchises. Widely cited investment thinker.
Motilal Oswal	Founder, Chairman & MD	Co-founder (1987). Led the firm's transformation from broking house into a comprehensive financial services platform. Recipient of Rashtriya Samman Patra for being among the highest taxpayers FY95–FY99.
Navin Agarwal	Executive Board — Strategy & Capital Allocation	Joined 2000. Drives business strategy and capital allocation across the Group, building market-leading positions through disciplined deployment.
Ajay Menon	Executive — Operations, Compliance, Risk & Technology	Joined 1998. 27+ years in Indian capital markets. Cornerstone of operational excellence and technology initiatives across the Group.

13 Forensic Assessment — Monitor Closely

Our forensic assessment highlights regulatory matters requiring monitoring within the capital markets business.

Issue	Description	Severity
SEBI — Margin Reporting Violations	INR 7 lakh penalty for margin reporting, collection violations, and other regulatory lapses found during inspection.	Low
SEBI — Client Fund Misutilization (2022)	INR 25 lakh fine for misutilization of client funds and inaccurate margin reporting.	Medium
NSEL — Misselling Accusations	Accused alongside other top brokers of misselling NSEL contracts, KYC manipulation, client code modification, and illegal transactions per SFIO/EOW findings.	High (Historical)
SEBI — Not Fit and Proper (Commodities)	Declared 'not fit and proper' as commodity derivative broker in Feb 2019 based on SFIO/EOW recommendations.	High (Historical)
Unauthorized Terminal Operations	13 NSE and 9 BSE terminals operating from undeclared locations including an unreported branch in Delhi.	Medium

14 Valuation Perspective

CMP	TARGET	UPSIDE	P/E FY26E
₹822.9	₹1,127.0	37.0%	16.1

Motilal Oswal currently trades at a significant discount to our target price, which is derived through a probability-weighted valuation approach. The company's ongoing transformation from a cyclical broking business to an annuity-driven model warrants a higher multiple than its historical average. As Annual Recurring Revenue continues to increase as a percentage of total revenues, we expect a sustained multiple re-rating. Our valuation incorporates both the near-term earnings growth potential and the structural improvement in business quality. The company's strong return metrics, with ROE and ROCE significantly above industry averages, further support our premium valuation case. The probability-weighted target reflects a balanced view across potential regulatory scenarios.

15 Valuation Methods

Our valuation employs multiple methods to arrive at a probability-weighted target.

Method	Low Case	Base Case	Bull Case	Weight
Bull Case	1,400.0	1,400.0	1,400.0	30.0%
Base Case	1,127.0	1,127.0	1,127.0	50.0%
Bear Case	630.0	630.0	630.0	20.0%

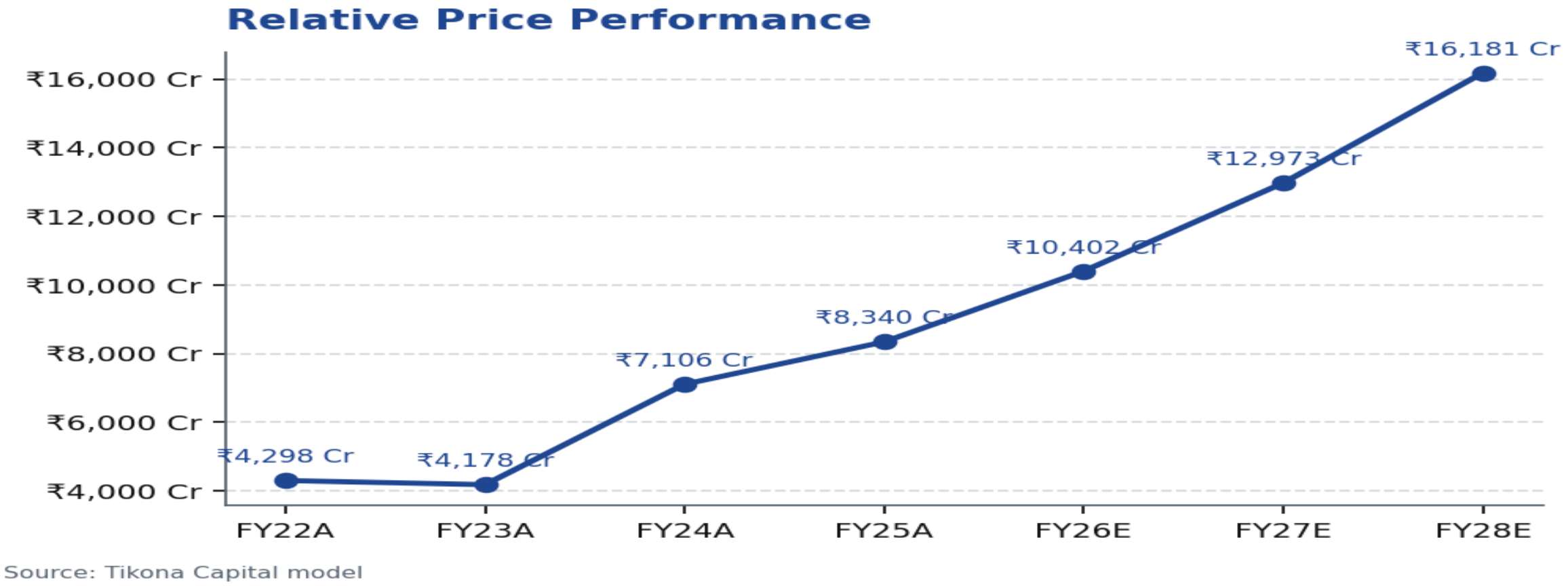
PROBABILITY-WEIGHTED TARGET
1,109.0

CURRENT PRICE
₹822.9

UPSIDE POTENTIAL
37.0%

16 Price Performance

Historical price action shows relative performance against broader market indices.



Source: Tikona Capital model

17 Key Risks and Catalysts

- Regulatory changes in F&O trading norms could compress cyclical broking revenues and impact near-term profitability
- Recent quarterly volatility demonstrates residual cyclicality despite business transformation
- Intensifying competition from discount brokers and fintech platforms may pressure transaction yields and client retention
- Recurring regulatory matters require ongoing monitoring and could impact corporate reputation
- Mark-to-market volatility on proprietary investment book can introduce earnings surprises in stressed market conditions
- Housing finance segment vulnerable to asset quality deterioration during credit stress cycles
- Fee compression risks in asset management if fund performance deteriorates relative to benchmarks
- Scale-related operational challenges could emerge as AUM growth accelerates

18 Trading Strategy

RATING	CMP	TARGET PRICE
BUY	₹822.9	₹1,127.0

Our BUY rating is predicated on the structural transformation toward annuity revenue and the consequent re-rating potential. The current valuation offers an asymmetric risk-reward profile given the improving business mix and strong operating metrics. Investors should consider accumulating positions during market weakness, as the company's transition to fee-based revenue streams provides increasing downside protection. The cyclical broking segment still introduces quarterly volatility, but the long-term trend toward higher-quality earnings remains intact.

- Entry Strategy: Accumulate on market weakness, particularly after quarterly results showing transient broking wea...
- Position Sizing: Core holding in financial services basket with appropriate sector allocation
- Time Horizon: 12-18 months for full thesis realization as ARR contribution continues to increase
- Catalyst Timeline: Monitor quarterly disclosures for ARR contribution progression and AUM growth trends
- Hedging Consideration: Pair with pure-play broking shorts if seeking exposure primarily to asset management growth
- Monitoring Triggers: Reassess if ARR contribution declines for two consecutive quarters or regulatory headwinds i...
- Exit Considerations: Review holding upon reaching target price or if housing finance segment shows material asset...

19 Analyst Certification

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